

HI5 EDUCATION CENTRE
END OF TERM TWO
S.5 ENTREPRENEURSHIP EDUCATION
PAPER TWO
3 HOURS

INSTRUCTIONS

Attempt all examination items

Item 1

Mary Gracious owns “AFWOFWO”

boutique in mawule town. She employs Twambale, Tunyume, Tukyakale and Tuzirye. The payment structure for the workers is as follows

SN	NAME OF THE EMPLOYEE	MONTHLY BASIC PAY UGX	MEDICAL INSURANCE COVERAGE PER MONTH UGX	MONTHLY TRANSPORT ALLOWANCE UGX
1	TWAMBALE	240,000	100,000	30,000
2	TUNYUME	350,000	400,000	30,000
3	TUKYAKALE	800,000	200,000	50,000
4	TUZIRYE	12,000,000	NOLIMIT	200,000

The business carried out the following vat exclusive transactions in July 2025

- i) Imported clothes from Turkey worth UGX. 12,000,000
- ii) Sold clothes to Nicole boutique at a profit of 20%
- iii) Nicole boutique sold all clothes to customers at a profit of 30%

Mary also owns rentals in Kasangati, Mpererwe and Gayaza and her earnings are as follows; UGX. 300,000, UGX. 400,000, UGX. 200,000 monthly respectively.

Mary is in the process of becoming tax compliant but she doesn't

know how much tax her employees are going to pay from their July earnings, the annual tax from the rentals and the indirect tax that is going to be charged at each stage

NOTE:

- I) It is reported that the income earned from her rental has a tax-free allowance in income of UGX. 235,000 per month and the tax rate is 12%
- II) The rate for the indirect tax is 18%
- III) The annual tax rates for employees are as below

annual income (UGX)	Tax liability
0-2,820,000	Nil
2,820,000-4,020,000	10% of the amount by which chargeable income exceeds UGX. 2,820,000

4,020,000–4,920,000	ugx. 120,000 plus 20% of the amount by which chargeable income exceeds ugx. 4,020,000.
Above ugx. 4,920,000	a). ugx. 300,000 plus 30% of the amount by which chargeable income exceeds ugx. 4,920,000 b). where taxable income exceeds ugx. 120,000,000, an additional 10% is charged on the amount exceeding ugx. 120,000,000

TASK: as a student of taxation computations help Mary to determine the relevant taxes she has to remit to URA.

ITEM 2.

Mimi Enterprises is a company that deals in importation of vehicles. In July 2025 the company imported a consignment of vehicles that were produced in 2014 in the United States at a cost of USD 4,000, insurance of USD 500 and USD 2,000 were paid as transport. The consignment attracted an import duty of 10%, VAT of 18%, excised duty of 20%, environmental levy of 1.5% and withholding tax of 6%. The exchange rate at the time of importation was ugx. 3800 per USD.

Mimi Enterprises also owns some rental houses in NALYA where ugx 100,000,000 was earned for the year ended on 31st July 2025. The business owners used ugx. 10,000,000 to take themselves out, ugx 5,000,000 to pay employee salaries and ugx. 15,000,000 to renovate the buildings. URA provided 50% as a provision to cater for expenses and allowances and 30% as the tax rate.

For the year ended 31st July 2025 the company's earnings were ugx. 500,000,000. One of the owners used ugx. 15,000,000 to organize his wedding, after the wedding the wife got an accident and ugx. 10,000,000 from the company's earnings were used to pay for her bills. After one week she died and ugx. 2,000,000 again from the company's gross income was used to organize her burial ceremony. Ugx. 1,000,000 was used to pay for electricity and other utilities. URA provides the tax rate as 30%.

All the shareholders of the business have insufficient knowledge about taxation computations. And you have been approached to help them.

TASK: help them and compute the relevant taxes the company has to remit to URA.

Item3

Majjeeventslimitedhasthefollowinginformationforthesecondquarterofthefinancialyear2025-2026.

- I. MonthlycashsalesaretobeUGX15,000,000andaretoincreaseby10%permonth.
- II. ThebusinessexpectstohaveacashdeficitofUGX2,000,000andacashsurplusonthebankaccountofUGX1,000,000asabalanceofthefirstquarterofthefinancialyear2025-2026.
- III. ThebusinessistopurchaseanewtentinthefirstmonthofthesecondquarteratUGX400,000andistoreceivea5%cashdiscount.
- IV. ThebusinesspurchasedamotorvehicleinJuly2025tohelpinhetransportationofcustomersordersatUGX40,000,000.Itstobechargedadepreciationof15%inthesecondquarter
- V. Thebusinesshopetoreceiveamonthlycashdepositfromacustomerwhohasfunctioninthe thirdquarterUGX500,000permonthbeginningthesecondmonthofthesecondquarter
- VI. Thebusinessistooffer catering services in the first month of the second quarter to a customer at UGX2,000,000.the customers shall pay 50% of the amount and the balance to be paid in equal installments in the following months
- VII. Monthly cash purchases of food stuffs amount to UGX250,000
- VIII. Monthly rental of UGX600,000 from renting out tents is expected.Its meant to increase by 3% every month
- IX. Monthly wages and salaries are to be UGX3,000,000.This will reduce by 20% in the second quarter as some workers contracts shall not be renewed.
- X. The owner expects to spend UGX800,000 to buy a gift for his old friend who helped to find his daughter a job
- XI. The business is to pay license fee of UGX500,000 in the third month of the second quarter
- XII. Three debtors each owing a sum of UGX300,000 had promised to pay in the first month, second month and third month of the second quarter respectively.Unfortunately, one who is supposed to pay in the first month has been declared bankrupt.

TASK

(1) You have been approached to help the business and estimate the net cash position for the second quarter of the financial year 2025–2026

Item 4

The following relate to **jowy enterprises** for the first quarter of the year 2026

- I. Opening balance UGX10,000,000
- II. The business project to make sales shown; UGX45,000,000, UGX90,000,000, UGX80,000,000 respectively. It is to receive 70% of the sales in the month of sale and the balance in the following month
- III. Commission income for the first month to be UGX5,000,000 and this is projected to increase monthly by 10%
- IV. Credit sales worth UGX30,000,000 in December 2025 are to be cleared by debtors in the following month in the ratio 5:3:2
- V. The business project to buy units in kilograms of 40,000, 24,000 and 20,000 respectively at a cost price of UGX500 per kilogram
- VI. Projected monthly labour cost payment to each of the 10 workers is UGX350,000. However, in the last month of the first quarter, the business will recruit three more employees at the same monthly pay
- VII. The business expects to sell an old van at UGX12,000,000 in the second month of the first quarter and in the same month, buy a delivery truck at UGX20,000,000 making a down payment of 75% of the cost price and the balance to be paid in the following month
- VIII. Administrative expenses paid at the end of each month amounted to UGX4,000,000 but this is expected to decrease by 5% after the first two months
- IX. The proprietor plans to give a cash prize to his wife worthy UGX500,000 in the last week of the month and buy her a new car worthy UGX12,000,000 to celebrate her birthday in the second month
- X. Rental income of UGX1,000,000 is projected in the first month and this is to increase by 8% monthly
- XI. Cash and food donations per month are projected to be UGX2,000,000 and UGX3,000,000 respectively
- XII. Depreciation expenses of all fixed assets are projected at UGX3,400,000 PER MONTH

- XIII. The business is to obtain loan of UGX 6,000,000 in the first month at an interest rate of 5% payable monthly at reducing balance method. The principle to be paid in three equal installments starting with the month of loan acquisition.

TASK

- a. Help the business and record the above projections for the first quarter of the year 2026

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END